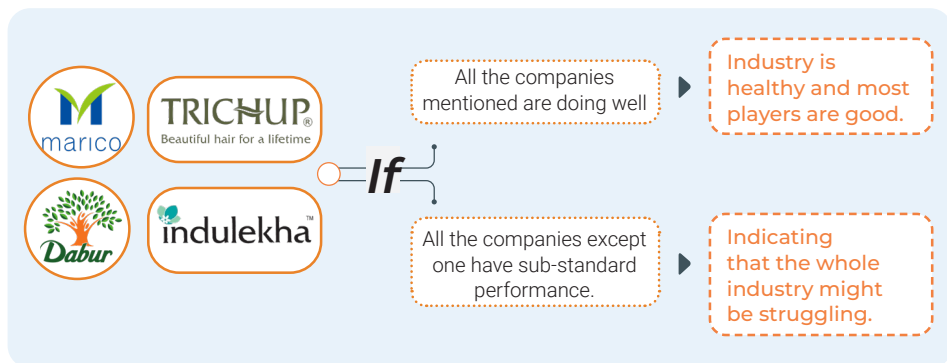


Health of Other Players in the Industry

What is the industry's overall health?

What is the status of other players' performance in the industry?

Let us assume there are 4 hair oil companies alongside Marico:



We must look for industries where most the companies, in general, are doing well!

Average performers in Healthy industries



Good Performance in Bad Industry



vs



The telecom industry has been highly competitive for the past 3-4 years in India mainly competing on price. So in this case, can we call the telecom industry poor? For that we will need to dig deeper and read more about it.

Although institutional investors may make their decisions based on detailed research but as retail investors we must stick to healthy industries we will stick to industries where most companies make money i.e the industry as a whole is healthy and then stick to market leaders in those industries. Example - Jio is current market leader in telecom industry